ADIRE & CO.

Executive Data Analysis & Strategic Advisory Report

Fashion Retail Performance | January 2024 – December 2025

1,500	₦89.0M	₦32.2M	36.1%
Total Orders	Total Revenue	Total Profit	Profit Margin

Presented by: Senior Data Analyst & Strategic Advisor

Prepared for: The Executive Board of Adire & Co.

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1. EXECUTIVE SUMMARY

I have conducted a comprehensive analysis of Adire & Co.'s 1,500 customer orders spanning January 2024 through December 2025. The dataset covers five product categories, five cities, three sales channels, and two customer segments, providing a holistic view of the company's retail performance.

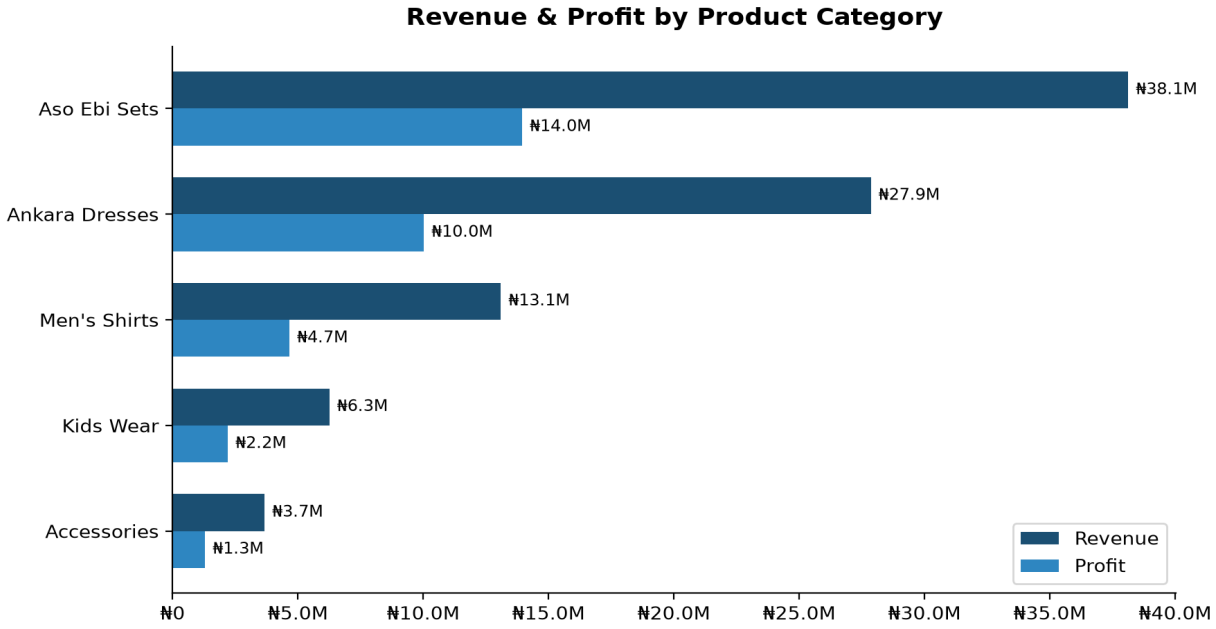
Key findings at a glance: The business generated ₦89.0 million in revenue and ₦32.2 million in profit, achieving a healthy 36.1% overall profit margin. However, my analysis reveals significant disparities across channels, categories, and discount tiers that present both risks and opportunities. Instagram, while the second-largest revenue channel, carries an alarming 18.3% return rate—more than five times higher than Physical Stores (3.3%). The 40% clearance discount tier is effectively destroying margin, yielding only 1.6% profit on successful orders. Conversely, Returning customers demonstrate 65.5% higher average order values than New customers, underscoring the value of retention. November and December consistently emerge as peak revenue months, accounting for 30.2% of total revenue.

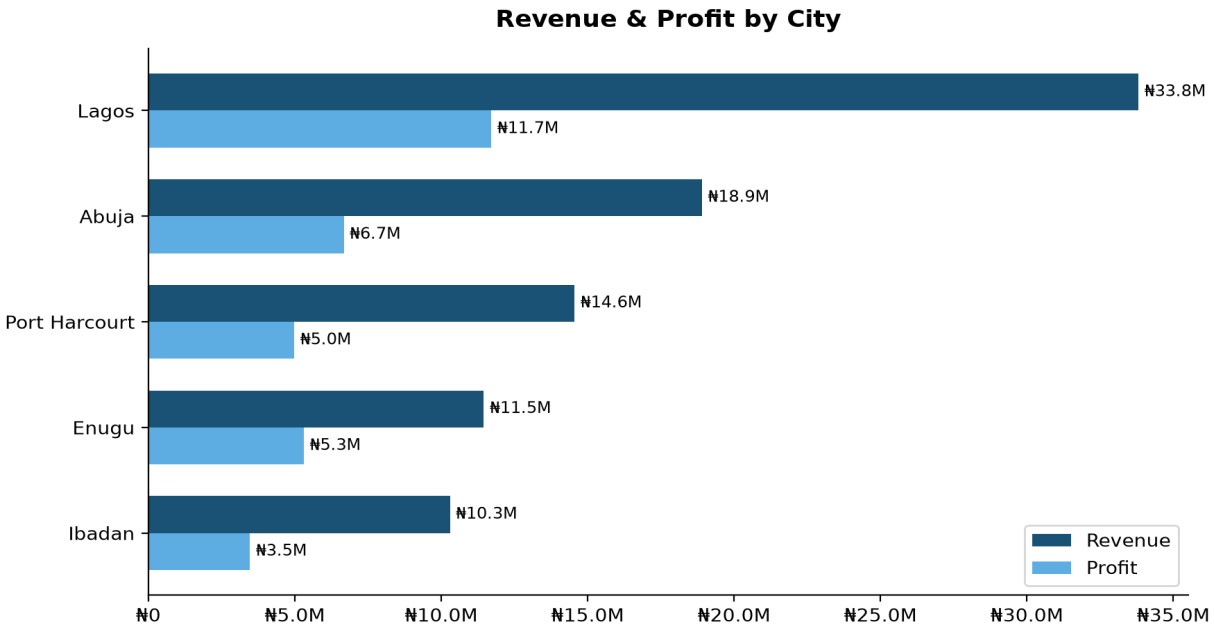
2. DATA Q&A: MANAGEMENT QUESTIONS ANSWERED

2.1 Which products and cities bring in the most money and the most profit?

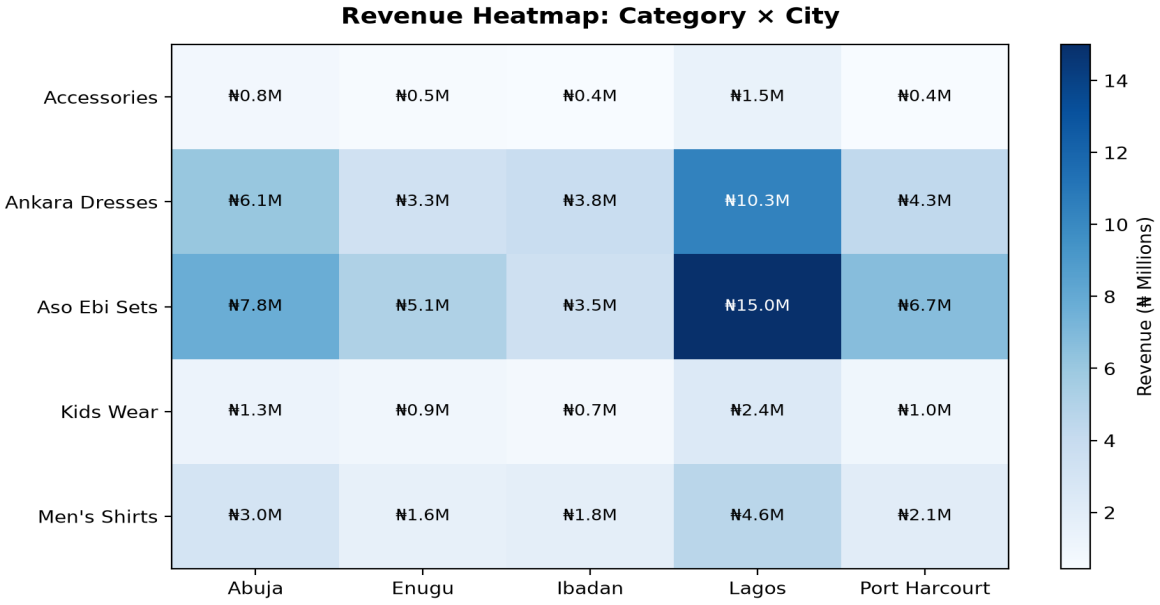
Product Performance: Aso Ebi Sets dominate the portfolio with ₦38.1 million in revenue (42.8% of total) and ₦14.0 million in profit, despite representing only 237 orders (15.8% of volume). This reflects the premium pricing of this category, with an average order value of ₦160,904. Ankara Dresses rank second at ₦27.9 million in revenue with ₦10.0 million in profit. Together, these two categories account for 74.1% of all revenue and 74.6% of all profit.

City Performance: Lagos is the clear revenue leader at ₦33.8 million (38.0% of total), followed by Abuja at ₦18.9 million (21.2%). However, the most remarkable finding is Enugu's superior profit margin of 46.4%—substantially higher than every other city. While Enugu contributes only ₦11.5 million in revenue (12.9%), it converts revenue to profit more efficiently than Lagos (34.6%) or Ibadan (33.7%). This suggests favorable cost structures or customer behavior in Enugu that merits further investigation.





The heatmap below reveals that the single most lucrative combination is Aso Ebi Sets sold in Lagos (₦15.0M in revenue), followed by Ankara Dresses in Lagos (₦10.3M).

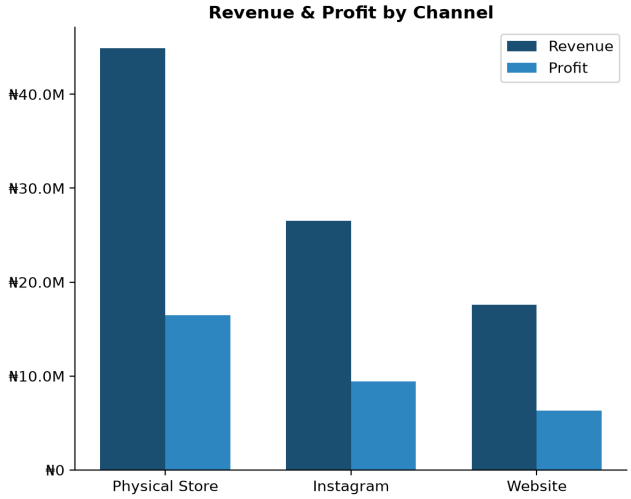


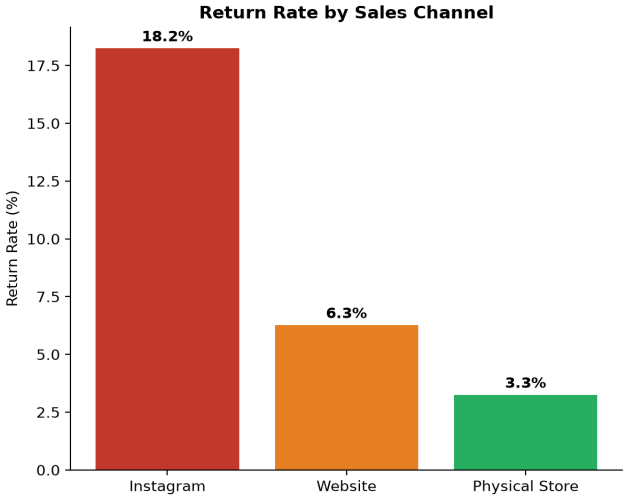
2.2 Which sales channel gives us the most trouble?

Instagram is unequivocally the most problematic channel. While it generates ₦26.5 million in revenue (29.8% of total) from 537 orders, it carries a return rate of 18.3%—meaning nearly 1 in 5 orders placed via Instagram is returned. For comparison, Physical Store returns are only 3.3% and Website returns are 6.3%. Each returned order results in a ₦3,500 cost and zero revenue, directly destroying profitability.

Additionally, Instagram shows the lowest average customer rating at 3.70 out of 5, compared to Physical Store (4.08) and Website (4.05). The average order value on Instagram (₦49,433) is also the lowest across channels, while Physical Stores achieve ₦66,433. The combination of high return rates, low satisfaction scores, and lower order values makes Instagram the channel requiring the most urgent operational intervention.

Channel	Revenue	Profit	Orders	Return Rate	Avg Rating	Avg Order Value
Physical Store	₦44.9M	₦16.5M	676	3.3%	4.08	₦66,433
Instagram	₦26.5M	₦9.4M	537	18.3%	3.70	₦49,433
Website	₦17.6M	₦6.3M	287	6.3%	4.05	₦61,244





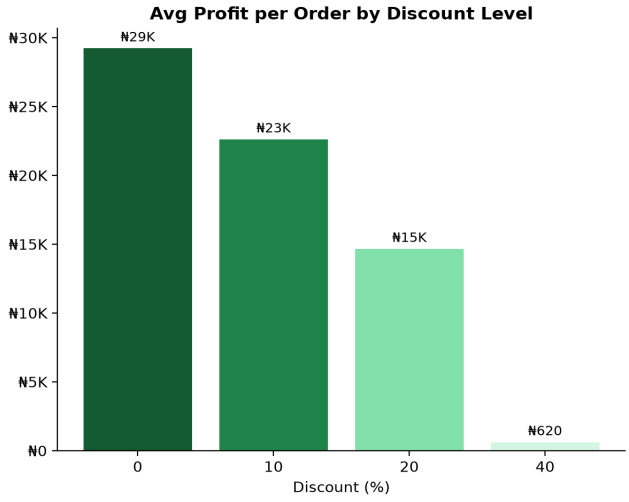
2.3 Are our discounts helping or hurting?

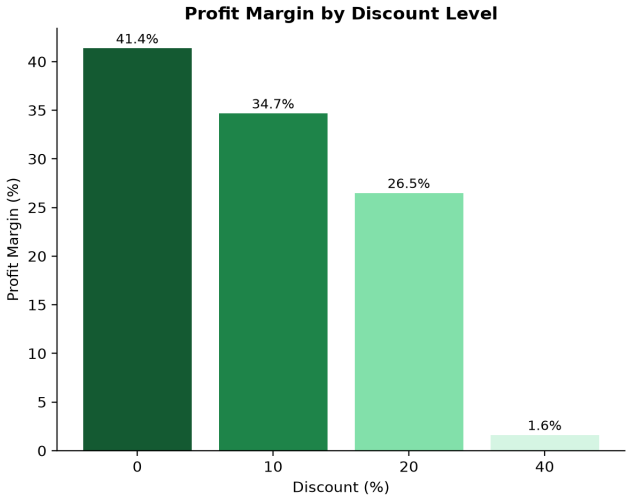
My analysis reveals a clear, progressive margin erosion as discount levels increase. The data tells an unambiguous story: discounts, particularly at the 40% clearance level, are overwhelmingly hurting profitability without generating sufficient volume to compensate.

Examining non-returned orders only (to isolate the pure discount effect): orders with no discount achieve a 41.4% profit margin and an average profit of ₦29,238 per order. At 10% discount, the margin drops to 34.7% with ₦22,621 per order—a meaningful but manageable decline. At 20%, margin falls to 26.5% with ₦14,666 per order. The critical finding is at 40%: profit margin collapses to just 1.6%, with an average profit of only ₦620 per order. This means the 40% clearance tier barely breaks even and one return wipes out the profit from dozens of discounted orders.

When factoring in returned orders, the 40% discount tier shows an overall average profit of just ₦143 per order, essentially generating zero economic value. The 40% discount does not drive sufficiently higher order volumes either—it accounts for only 95 of 1,500 orders (6.3%).

Discount	Orders	Total Revenue	Total Profit	Avg Profit/Order	Profit Margin
0%	829	₦53.5M	₦21.9M	₦26,395	40.9%
10%	388	₦23.0M	₦7.9M	₦20,265	34.2%
20%	188	₦9.3M	₦2.4M	₦12,734	25.8%
40%	95	₦3.2M	₦13,619	₦143	0.4%

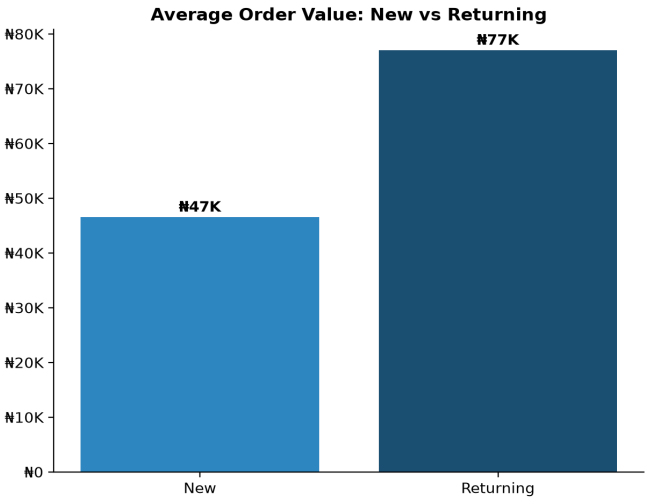


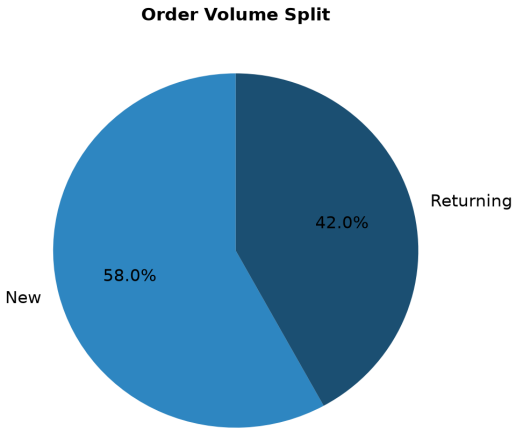


2.4 Do returning customers behave differently from new ones?

Yes, significantly. Returning customers demonstrate markedly different—and more profitable—behavior across every key metric. My analysis identifies the following distinctions:

- Average Order Value: Returning customers spend ₦77,036 per order vs. ₦46,550 for New customers—a 65.5% premium.
- Average Profit per Order: Returning customers generate ₦27,950 profit per order vs. ₦16,717 for New—a 67.2% uplift.
- Quantity per Order: Returning customers order 2.56 items on average vs. 1.50 for New, indicating higher basket sizes.
- Customer Satisfaction: Returning customers rate their experience 4.06 vs. 3.85 for New customers.
- Volume Split: New customers represent 58.0% of orders (870) while Returning represent 42.0% (630), yet Returning customers account for 54.5% of total revenue.
- Return Rate: Returning customers have a slightly higher return rate (10.5%) than New (8.3%), which warrants monitoring.



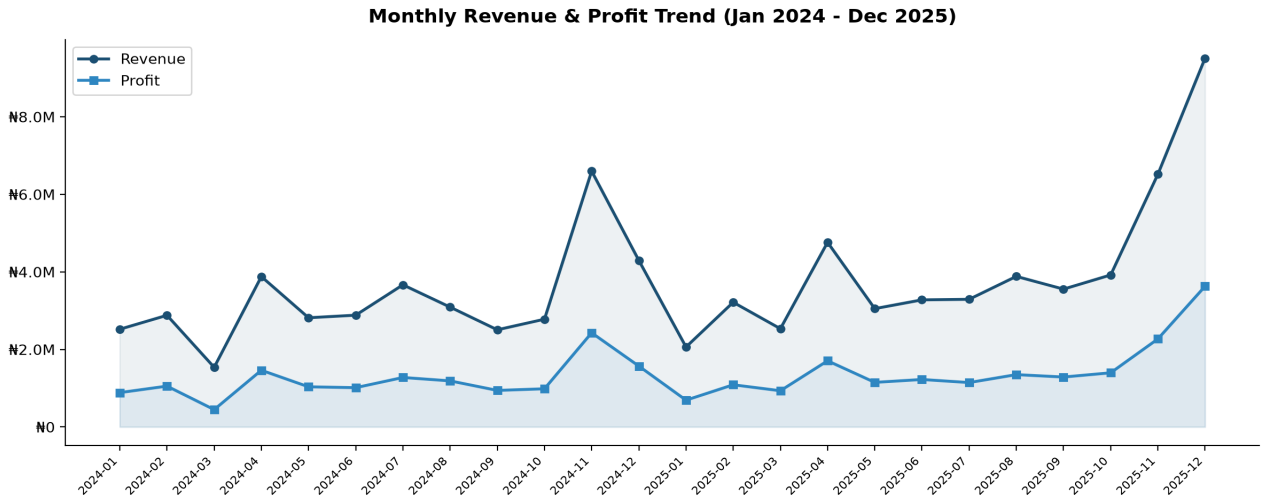


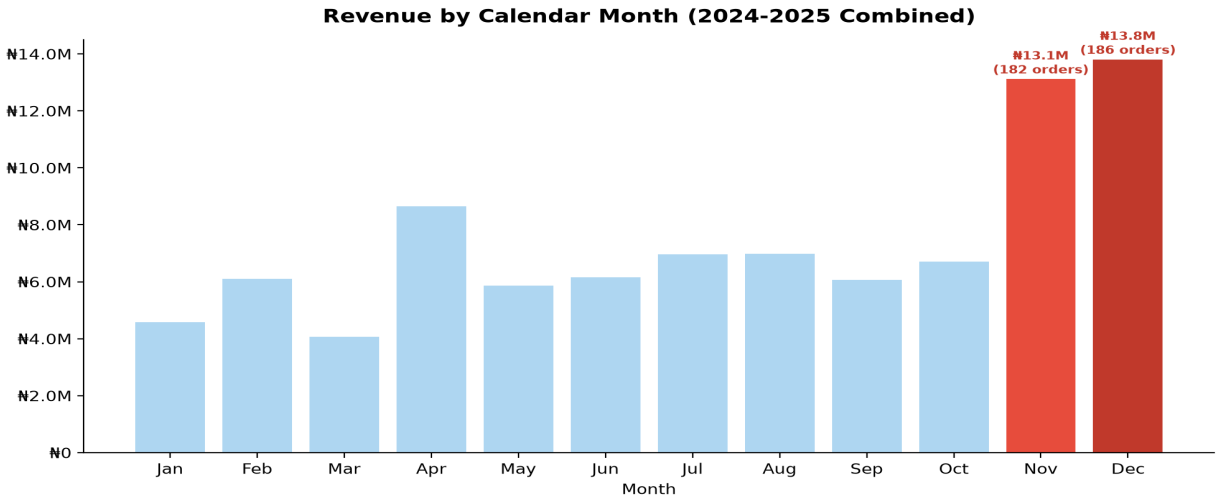
2.5 When are our busiest months, and why might that be?

November and December are decisively the busiest months. Combined across both years, November generated ₦13.1 million in revenue from 182 orders, and December generated ₦13.8 million from 186 orders. Together, these two months account for 30.2% of total revenue and 31.0% of total profit while representing only 16.7% of the calendar year.

Why: The November–December surge aligns with the festive and celebration season in Nigeria. Key drivers likely include: (1) End-of-year holiday celebrations and parties requiring occasion wear—particularly Aso Ebi Sets and Ankara Dresses; (2) Christmas and New Year festivities; (3) December weddings and social events that are traditional in Nigerian culture; (4) Year-end bonuses that increase consumer purchasing power. April also shows a notable spike (₦8.6M combined), potentially linked to Easter celebrations and post-first-quarter spending.

Conversely, March and January are consistently the weakest months (₦4.1M and ₦4.6M respectively), reflecting post-holiday spending fatigue.


Monthly Revenue & Profit Trend (Jan 2024 - Dec 2025)
Revenue
Profit
₦8.0M
₦6.0M
₦4.0M
₦2.0M
₦0
2024-01
2024-02
2024-03
2024-04
2024-05
2024-06
2024-07
2024-08
2024-09
2024-10
2024-11
2024-12
2025-01
2025-02
2025-03
2025-04
2025-05
2025-06
2025-07
2025-08
2025-09
2025-10
2025-11
2025-12


Revenue by Calendar Month (2024-2025 Combined)
₦14.0M
₦12.0M
₦10.0M
₦8.0M
₦6.0M
₦4.0M
₦2.0M
₦0
₦13.1M
(182 orders)
₦13.8M
(186 orders)
Jan
Feb
Mar
Apr
May
Jun
Jul
Aug
Sep
Oct
Nov
Dec
Month

2.6 What one change would you recommend to management?

My single most impactful recommendation: Eliminate the 40% clearance discount tier and redesign the Instagram sales process.

The 40% discount tier generates only ₦13,619 in total profit across 95 orders—an average of ₦143 per order. Replacing it with a maximum 25% discount cap would preserve customer appeal while protecting margins. Simultaneously, addressing Instagram's 18.3% return rate through improved product photography, size guides, and a pre-purchase verification step could recover an estimated ₦343,000 in annual losses (based on 98 Instagram returns × ₦3,500 cost each). These two changes together target the two largest margin leaks in the business and require no additional capital investment.

3. STRATEGIC CONCLUSIONS

Conclusion 1: Portfolio Concentration Risk — Two Categories Carry the Business

I have identified a significant concentration risk: Aso Ebi Sets and Ankara Dresses together generate 74.1% of total revenue (₦66.0M of ₦89.0M) and 74.6% of total profit (₦24.0M of ₦32.2M). Meanwhile, Accessories contribute only 4.1% of revenue (₦3.7M). While the premium categories deliver strong margins (36.6% for Aso Ebi, 36.0% for Ankara), this heavy dependence on two product lines exposes the business to risk. A downturn in demand for occasion wear—whether from economic pressure, fashion trends, or competitive disruption—would disproportionately impact overall performance. The remaining three categories (Men's Shirts, Kids Wear, Accessories) collectively produce only 25.9% of revenue, indicating an underdeveloped product diversification strategy.

Conclusion 2: Instagram Is a High-Volume, High-Risk Channel Requiring Urgent Intervention

Instagram contributes 29.8% of revenue (₦26.5M) from 35.8% of all orders (537), making it a critical channel. However, it simultaneously carries the highest return rate (18.3% vs. 3.3% for Physical Stores), the lowest customer rating (3.70 vs. 4.08), and the lowest average order value (₦49,433 vs. ₦66,433). The 98 Instagram returns cost the company a minimum of ₦343,000 in processing fees alone, with the true cost being much higher when accounting for lost revenue. The data strongly suggests an expectation gap: customers purchasing via Instagram are not receiving products that match their expectations—likely driven by photography that does not accurately represent fabric texture, color, or fit.

Conclusion 3: Deep Discounting (40%) Destroys Value Without Driving Meaningful Volume

The tiered discount analysis reveals that while moderate discounts (10%) maintain acceptable margins (34.2%) and the 20% tier is borderline (25.8%), the 40% clearance tier is economically destructive. At 40% discount, profit margin collapses to 0.4% overall (1.6% on non-returned orders only), with an average profit of just ₦143 per order. Critically, the 40% tier does NOT drive high volume—it represents only 6.3% of total orders (95 out of 1,500). This means the company is sacrificing almost all profit on these transactions without gaining meaningful market share, customer acquisition, or inventory clearance velocity. The data proves that ₦3.2M in revenue was generated at an effective profit of only ₦13,619—a near-total loss.

Conclusion 4: Returning Customers Are the Profit Engine — Retention Investment Has Asymmetric Returns

Despite representing only 42.0% of order volume (630 orders), Returning customers generate 54.5% of total revenue (₦48.5M) and 54.8% of total profit (₦17.6M). Their average order value of ₦77,036 is 65.5% higher than New customers (₦46,550), and they purchase 71% more items per order (2.56 vs. 1.50). Every percentage point improvement in customer retention has an outsized impact on revenue compared to acquiring new customers. The 4.06 average rating from Returning customers (vs. 3.85 for New) confirms higher satisfaction, suggesting that first-order experience is the critical conversion point from New to Returning.

4. ACTIONABLE RECOMMENDATIONS

Recommendation 1: Diversify the Product Portfolio (Addresses Conclusion 1)

I recommend launching a “Daily Wear” sub-line within Ankara Dresses and Men's Shirts priced 15–20% below current price points to capture everyday purchasing occasions, not just events. Simultaneously, invest in Accessories as a gateway category: bundle accessories (currently averaging ₦16,107 per order) with premium Aso Ebi purchases as an upsell. Target: grow the combined share of Men's Shirts, Kids Wear, and Accessories from 25.9% to 35% of revenue within 12 months.

Recommendation 2: Overhaul Instagram Sales Operations (Addresses Conclusion 2)

Deploy three immediate interventions: (1) Replace current product photography with standardized, color-calibrated images showing fabric texture, actual fit on models, and accurate color representation; (2) Implement mandatory size-guide confirmation before checkout; (3) Introduce a 48-hour “confirm or cancel” step for Instagram orders above ₦50,000. Target: reduce Instagram return rate from 18.3% to below 10% within two quarters, recovering an estimated ₦170,000+ in avoided return costs.

Recommendation 3: Cap Maximum Discount at 25% and Restructure Clearance (Addresses Conclusion 3)

Immediately eliminate the 40% discount tier. Replace it with a maximum 25% “Seasonal Sale” cap and introduce alternative clearance mechanisms: (1) Bundle slow-moving inventory with popular items as “value packs”; (2) Offer loyalty credit instead of steep markdowns. The data shows 10% discounts retain 83.5% of the full-price profit margin—optimize promotions around this tier. Target: improve blended profit margin from 36.1% to 38%+ within two quarters.

Recommendation 4: Launch a Structured Loyalty & Retention Program (Addresses Conclusion 4)

Formalize the value of Returning customers through a tiered loyalty program: (1) After first purchase, send personalized follow-up within 7 days with a 10% discount code for next order; (2) After third purchase, offer early access to new collections and event-wear pre-orders; (3) Track and actively manage the New-to-Returning conversion rate as a core KPI. Given that each Returning customer order generates ₦11,233 more profit than a New customer order, even converting 5% more New customers to Returning would add approximately ₦489,000 in annual profit.

5. PREEMPTIVE DEFENSE: ANTICIPATED BOARD QUESTIONS

Q1: "If we cut the 40% discount, won't we lose those 95 customers entirely?"

I have considered this objection carefully. The 95 orders at 40% discount represent only 6.3% of total volume and generate just ₦13,619 in profit—less than 0.04% of total profit. Even if we lost every one of those customers (unlikely with a 25% cap still in place), the profit impact would be negligible. More importantly, the 40% tier may be training customers to wait for deep discounts rather than purchasing at full price. The data shows no evidence that 40% discount customers convert to full-price buyers in subsequent orders. Replacing 40% with 25% preserves the promotional appeal while protecting ₦2.4M+ in revenue at healthier margins.

Q2: "Instagram generates almost 30% of our revenue. Isn't it too risky to change how we operate there?"

I am not recommending reducing Instagram investment—I am recommending making it more efficient. The 18.3% return rate means Instagram is currently generating significant phantom revenue: ₦26.5M looks impressive on the top line, but 98 of those 537 orders were returned at a cost of ₦343,000. The proposed interventions (better photography, size guides, confirmation step) do not reduce order volume—they reduce waste. If we bring the return rate down to the Website's level (6.3%), we would save approximately 64 returns, recovering ₦224,000 in direct costs and significant revenue that currently appears then disappears.

Q3: "Enugu has the highest margin (46.4%) but the lowest revenue. Shouldn't we be investing more there?"

This is a valid strategic question. Enugu's 46.4% profit margin on ₦11.5M revenue (188 orders) indeed outperforms Lagos (34.6% on ₦33.8M). However, I would counsel cautious expansion. The high margin may reflect a smaller, less competitive market with lower customer acquisition costs—advantages that could erode with aggressive scaling. My recommendation would be a measured test: increase marketing spend in Enugu by 20% for one quarter and measure whether margin holds as volume grows. If Enugu can sustain even a 40% margin at 250+ orders per year, it becomes the most capital-efficient growth market in the portfolio.

Q4: "You highlight November-December seasonality. How do we maintain momentum in Q1 when revenue dips significantly?"

January and March are indeed the weakest months (₦4.6M and ₦4.1M respectively vs. ₦13.8M in December). I propose three countermeasures: (1) Launch a "New Year, New Wardrobe" campaign in January targeting Returning customers with early-access deals on new season collections—leveraging the proven higher spend of this segment; (2) Introduce a Valentine's/Anniversary gifting collection in February to create a non-seasonal demand driver; (3) Use the Q1 lull for inventory planning and pre-production for the April and November-December peaks. The goal is not to match peak season revenue in Q1, but to narrow the gap by 15–20% through targeted demand creation.

6. APPENDIX: DATA OVERVIEW

Dataset Summary: 1,500 orders from Adire & Co., spanning January 1, 2024 to December 31, 2025. All monetary values are in Nigerian Naira (₦). The dataset contains no blanks, duplicates, or data quality issues.

Metric	Value
Total Orders	1,500
Total Revenue	₦89,031,050
Total Cost	₦56,879,159
Total Profit	₦32,151,891
Overall Profit Margin	36.1%
Average Customer Rating	3.94 / 5.00
Overall Return Rate	9.2% (138 orders)
Product Categories	Aso Ebi Sets, Ankara Dresses, Men's Shirts, Kids Wear, Accessories
Sales Channels	Physical Store, Instagram, Website
Cities	Lagos, Abuja, Port Harcourt, Enugu, Ibadan
Customer Segments	New (870 orders, 58%) and Returning (630 orders, 42%)
Discount Tiers	0%, 10%, 20%, 40%
Date Range	January 2024 – December 2025

End of Report

This analysis was prepared based exclusively on the provided dataset. All figures are verifiable from the raw data.